
Generative AI's Act Two

From Technology Hammer to Real Value

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Sonya Huang · Pat Grady · GPT-4

Six Decades of Technological Progress Converged to Enable Generative AI

Three foundational waves accumulated over decades to create the conditions for generative AI

Moore's Law

6 decades of compute
Exaflops of processing power

The Internet

4 decades of training data
Trillions of tokens produced (accelerated by COVID)

Mobile & Cloud

2 decades of distribution
Supercomputer in every palm

1960s 1970s 1980s 1990s 2000s 2010s 2020s

Convergence → Generative AI



GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

> \$1B

startup revenue in months
vs. years for SaaS

ChatGPT

Fastest-growing application in history
Strong PMF among students & developers

Midjourney

Hundreds of millions in revenue
With just 11 employees

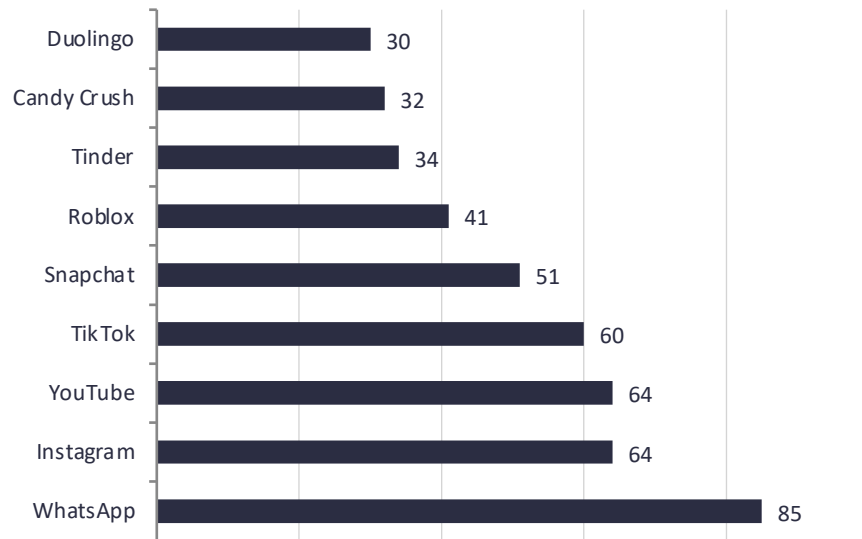
Character.ai

AI entertainment & companionship
2-hour avg. session time

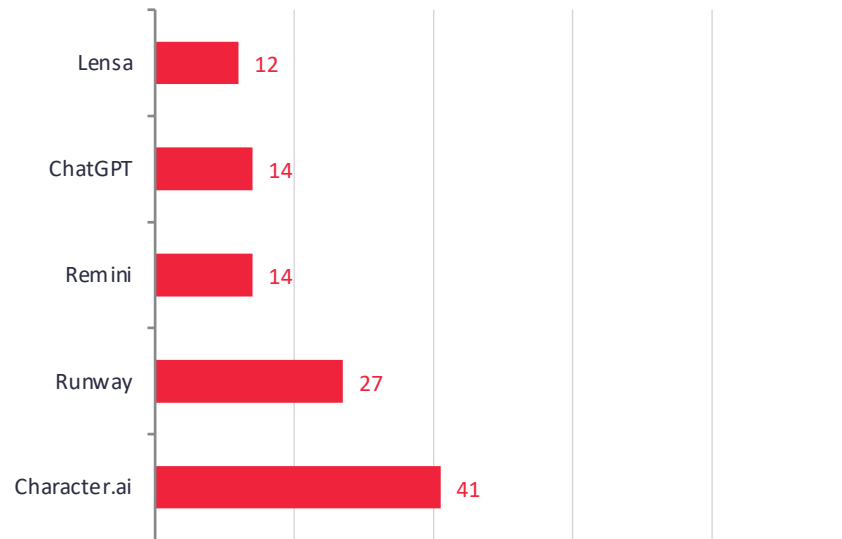
Despite the rapid commercial traction, many AI companies still lack product-market fit or sustainable competitive advantage.

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

Incumbents



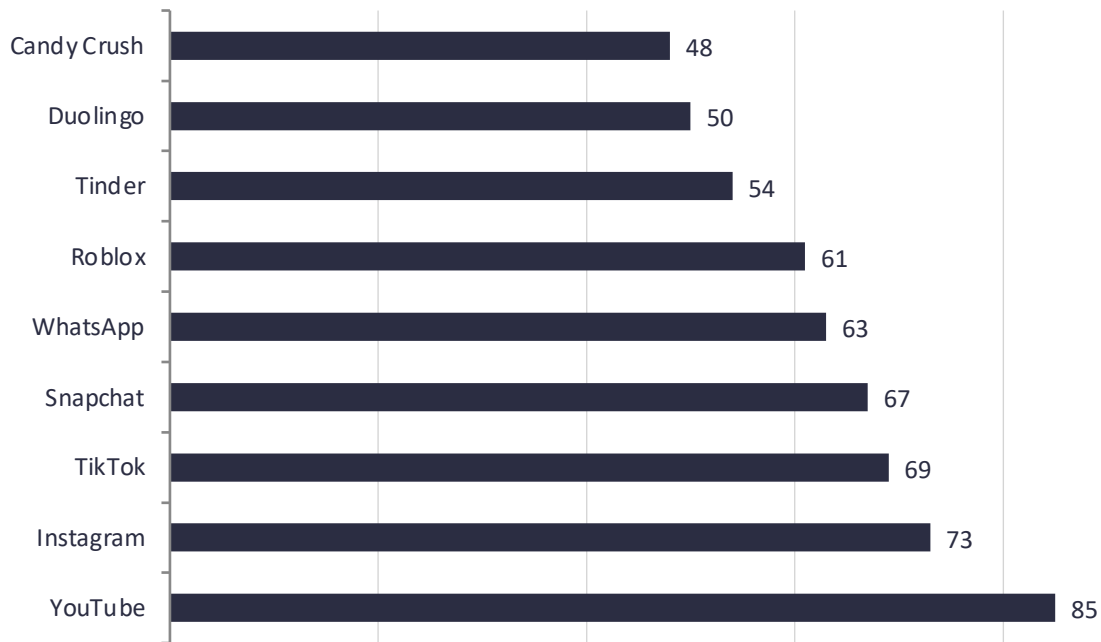
AI-First Companies



Median Gap: Incumbents 51% vs. AI-First 14% — a 3.6× disadvantage

YouTube Leads Incumbents at 85% Monthly Active Usage

Incumbent apps set a high engagement bar that AI-first apps must clear



63%

Median Monthly
Active Usage

Key Insight

AI-first apps must compete with these engagement levels to build sustainable businesses.

Act 1 Was Technology-Out; Act 2 Is Customer-Back

ACT 1: TECHNOLOGY-OUT

- ✗ Foundation models as the entire solution
- ✗ Novelty demos and lightweight wrappers
- ✗ Cool technology looking for a problem
- ✗ Poor user retention and stickiness
- ✗ Thin product with AI as the only moat

ACT 2: CUSTOMER-BACK

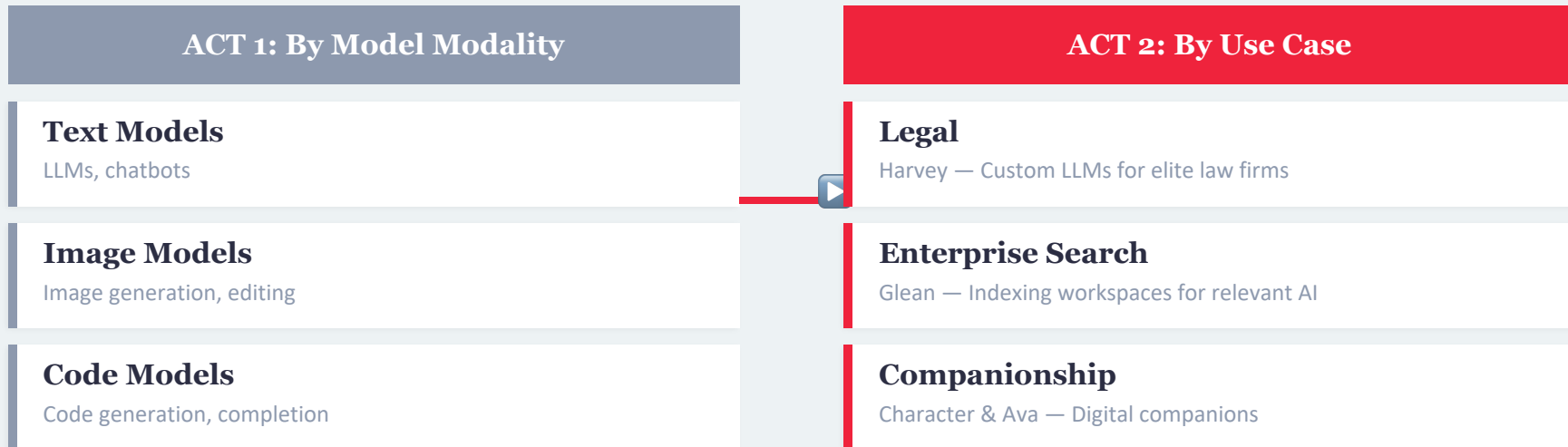
- ✓ Foundation models as a piece of the solution
- ✓ New editing interfaces for stickier workflows
- ✓ Multi-modal in nature
- ✓ End-to-end problem solving
- ✓ Comprehensive, workflow-integrated products

Act 2 Exemplars:

Harvey (Legal) · Glean (Enterprise Search) · Character & Ava (Companionship)

Market Map Reorganized by Use Case, Not Model Modality

The Sequoia generative AI market map evolves from model modality to use-case-driven categories



This reorganization mirrors the broader Act 1 → Act 2 transition

Applications are increasingly multi-modal, crossing text, image, and code boundaries. Organizing by use case reflects how value is actually delivered to customers — not how the underlying model processes data.

Key Takeaways

What Separates Winners in Act Two

- 1 Retention is the critical challenge**
AI-first apps at 14% median retention vs. 51% for incumbents — a 3.6× disadvantage
- 2 Foundation models should be a component, not the whole product**
Thin wrappers lose; comprehensive, workflow-integrated solutions win
- 3 Multi-modal, workflow-integrated solutions will win**
New editing interfaces and multi-modal capabilities make products stickier
- 4 The \$1B+ revenue milestone proves real demand exists**
Despite hype-cycle skepticism, generative AI has had a more successful commercial start than SaaS
- 5 Companies solving end-to-end human problems will define Act 2**
The shift from technology-out to customer-back is the defining transition